

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$270.17 | Target: \$287.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,966.40B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. demonstrates solid financial health with consistent revenue growth and improving contribution margins, projecting a 3.3% CAGR through 2027. Despite a minor revenue dip in 2023, the company maintains strong EBITDA margins, surpassing key peers like Google and Microsoft. With a robust EPS forecast and competitive valuation metrics, Apple remains well-positioned for future earnings expansion.

Company Overview

Apple Inc. is a leading technology company renowned for its innovative consumer electronics, software, and services. Founded in 1976, Apple has consistently been at the forefront of technological innovation, with its business model centered around the design, manufacturing, and marketing of a wide range of products and services. Key offerings include the iPhone, iPad, Mac computers, Apple Watch, and Apple TV, in addition to a robust suite of software and services such as iOS, macOS, watchOS, and a variety of applications and digital content services through platforms like the App Store, Apple Music, and iCloud.

The company's market position is strong, characterized by a loyal customer base and a brand synonymous with quality and premium design. Apple operates within a highly competitive environment, facing significant competition from other tech giants like Google and Microsoft. Despite this, Apple maintains a competitive edge through its ecosystem integration, which encourages customer retention and enhances user experience.

In terms of financial performance, Apple has demonstrated resilience and consistent growth, though it faced a slight dip in revenue from 2022 to 2023, with a decrease of 2.8%. However, the company rebounded with a projected revenue growth of 2% in 2024 and an anticipated 6.4% increase in 2025. Apple's contribution margin and EBITDA margin have shown strength, with margins improving over the years, reflecting effective cost management and operational efficiency.

Apple's earnings per share (EPS) have steadily increased, indicating strong profitability and shareholder value generation. The EPS grew from \$6.15 in 2022 to an expected \$7.49 in 2025, further expected to rise to \$8.93 in 2027. The company's price-to-earnings (PE) ratio suggests that investors remain optimistic about Apple's future growth prospects, despite fluctuations in market valuation.

In comparison to its peers, Apple maintains a competitive EBITDA, although it trails behind Google in recent projections. Nevertheless, Apple's market valuation, represented by its EV/EBITDA ratio, remains robust, signaling strong investor confidence and market positioning. Overall, Apple continues to leverage its brand strength and innovative prowess to sustain growth and maintain its leadership in the technology sector.

Investment Overview

Apple Inc. (AAPL) continues to showcase resilience and strategic growth despite facing challenges in the recent fiscal periods. For the year 2023, Apple reported a slight decline in revenue by 2.8% to approximately \$383 billion, reflecting a challenging macroeconomic environment and supply chain disruptions. However, the company demonstrated robust operational efficiency, with its contribution margin improving from 44.1% in 2023 to a projected 49.9% by 2027, indicating effective cost management and a focus on high-margin products.

Key growth drivers for Apple include its continued innovation in product offerings, particularly the expansion of its services segment and the anticipated roll-out of new hardware. The company's commitment to enhancing its ecosystem through diversified services adds a steady revenue stream, contributing to a positive outlook. Apple's EBITDA is forecasted to grow significantly, reaching approximately \$215 billion by 2027, buoyed by incremental improvements in EBITDA margin from 33.7% in 2023 to 44.8% by 2027.

In terms of market positioning, Apple's valuation reflects strong investor confidence. Although the PE ratio stood at 34.1 in 2025, indicating a premium compared to industry peers, it reflects the market's expectation of continued growth and innovation. Additionally, Apple's EV/EBITDA ratio, while higher than peers like Google and Microsoft, underscores its dominant market presence and efficient capital utilization.

Looking ahead, with a CAGR in revenue of 3.3% projected through 2027, Apple is well-positioned to leverage its brand strength and innovation capabilities to navigate potential headwinds. Investors can anticipate steady growth, bolstered by strategic investments in technology and a robust product pipeline.

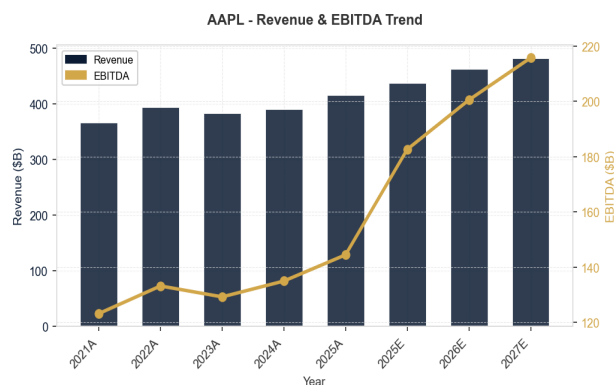
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



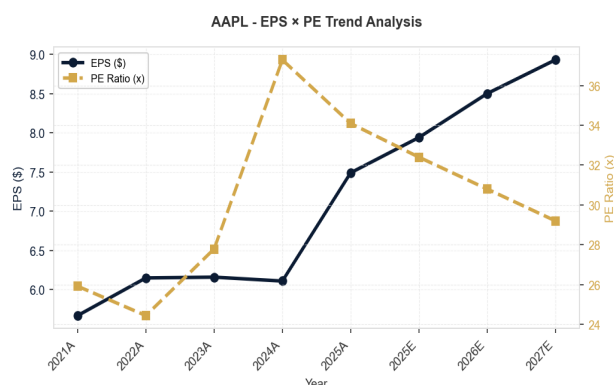
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) maintains a strong position in the tech industry, reflected by its robust financial performance and valuation metrics. The company's revenue has shown a compound annual growth rate (CAGR) of 3.3% from 2021 to 2027, with a noticeable dip in 2023 due to a slight revenue decrease. Despite this, Apple's EBITDA has consistently improved, indicating efficient operational management and a strong ability to generate earnings, with a projected EBITDA margin rising to 44.8% by 2027.

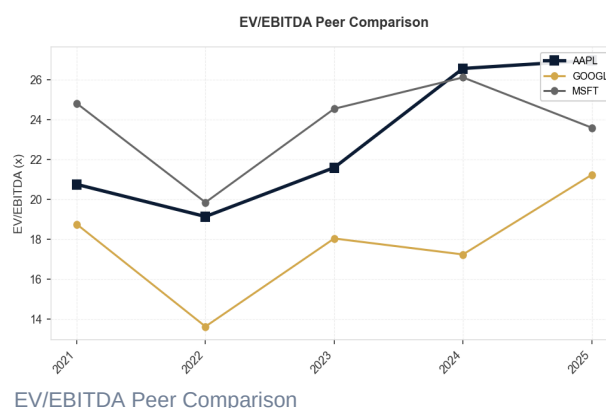
Apple's PE ratio is relatively high compared to historical standards, currently standing at 27.79 for 2023, with a gradual decrease anticipated to 29.2 by 2027. This suggests high investor expectations for future earnings growth. Compared to its peers, Apple's EV/EBITDA ratio of 21.6 for 2023 is higher than Google's 18.04 but lower than Microsoft's 24.54, indicating a premium valuation that reflects its market dominance and brand strength.

In terms of peer comparison, Apple's EBITDA has consistently outperformed both Google and Microsoft in the past, although projections indicate that both Google and Microsoft might surpass Apple's EBITDA in future years. This competitive landscape suggests that while Apple remains a leader, its peers are closing the gap.

Considering these metrics, Apple's fair value assessment indicates that the company is trading at a premium, justified by its strong brand, consistent profitability, and strategic market position. Investors should consider potential growth in emerging markets and product innovation as future catalysts that could support maintaining or even expanding this premium valuation. However, the relatively high PE ratio suggests caution, as any failure to meet growth expectations could lead to valuation adjustments.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Recent developments surrounding Apple Inc. (AAPL) have captured significant attention in the financial markets, with a focus on its technological advancements and upcoming financial results. Apple is reportedly planning a major AI overhaul for its camera systems in iOS 27, expected to enhance user experience by improving photo, video, and portrait mode transitions. This initiative underscores Apple's continued commitment to leveraging artificial intelligence to enhance its product offerings, potentially bolstering its competitive edge in the smartphone market.

As Apple prepares to release its quarterly earnings, there is heightened anticipation regarding its performance, particularly in light of a CEO succession plan. Analysts expect strong Q2 results driven by robust sales of the iPhone 17, as well as new Macs and iPads, which could contribute positively to revenue growth. Moreover, Apple's services segment reported a 14% year-over-year increase, fueled by a surge in TV+ viewership and an expansion in sports rights, suggesting a strong trajectory for the company's recurring revenue streams.

Investor sentiment around Apple remains varied. While retail sentiment on platforms like X.com shows a strong bullish inclination at 73%, the trend appears to be declining. In contrast, the sentiment on Reddit is less optimistic, with a bullish percentage of 27%, though mentions are on the rise.

In the broader tech landscape, Apple's strategic moves in AI and services are crucial as the industry gears towards a \$7 trillion data center build-out. Apple's positioning in AI, as evidenced by its planned photo-editing tool upgrades, is essential for maintaining its leadership in the tech industry.

For investors, Apple's focus on AI integration and services growth presents both opportunities for long-term value appreciation and challenges in navigating market expectations amidst leadership changes. The company's ability to deliver strong financial performance, while innovatively enhancing its product ecosystem, will be pivotal in sustaining investor confidence.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
- Impact: MEDIUM, Probability: 70%
- Product Launch (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
- Impact: MEDIUM, Probability: 70%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Apple: Tim Cook Exits At The Top
- Impact: HIGH, Probability: 95%

Events to Monitor

- Here's How Much Apple Stock Is Expected to Move After Earnings (2026-04-29)
- Why a Tech Behemoth Just Bet \$750 Million on the Future of Racing (2026-04-29)
- Apple Stock Poised for 21% Surge (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- ✓ AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- ✓ Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Risk Factors:

- Apple: Tim Cook Exits At The Top

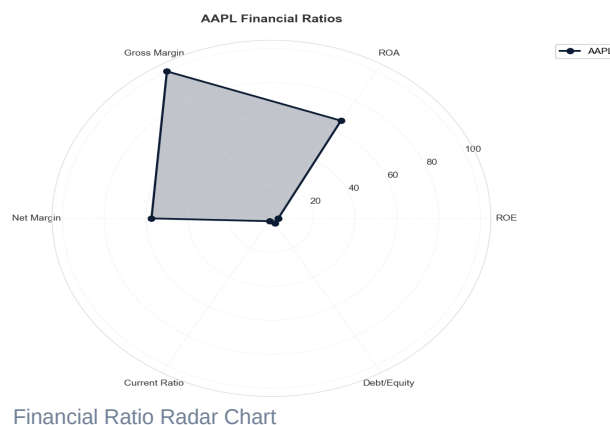
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Apple Inc. (AAPL) stands as a formidable player in the technology sector, competing primarily with major companies like Google LLC (GOOGL) and Microsoft Corporation (MSFT). Analyzing their financial metrics, Apple shows a steady revenue growth trajectory with a Compound Annual Growth Rate (CAGR) of 3.3% from 2021 to 2027. Despite a slight dip in 2023, Apple projects a robust recovery with expected revenues to reach approximately \$481.7 billion by 2027.

In terms of profitability, Apple's EBITDA margin indicates a strong position, projected to increase from 33.7% in 2021 to 44.8% by 2027. This margin is competitive, especially when compared to its peers. Apple's EBITDA figures have been consistently higher than both Google and Microsoft, maintaining a leading position until 2024, when Google's EBITDA slightly surpasses Apple's. However, Apple is expected to continue growing its EBITDA, indicating strong operational efficiency and cost management.

When examining valuation metrics such as the EV/EBITDA ratio, Apple maintains a balanced position relative to its competitors. While Apple's EV/EBITDA was higher than Google's in 2021 and 2022, it aligns more closely with Microsoft's ratios. This suggests that while Apple is valued highly, it remains competitive in terms of investment attractiveness.

Overall, Apple's financial health, marked by solid revenue growth, strong margins, and competitive valuation, positions it well against peers. However, the competitive landscape is dynamic, with Google and Microsoft both showing significant EBITDA growth, indicating ongoing rivalry in market share and technological innovation. Apple's continued focus on product innovation and operational efficiency will be crucial to maintain its competitive edge in the sector.

Risk Factors

- **Revenue Growth Risk:** Apple's revenue growth has shown volatility, with a decline of 2.8% in 2023. Future projections indicate modest growth, but unexpected market conditions or competitive pressures could further impact growth rates.
- **Valuation Risk:** The PE ratio for Apple has been fluctuating, reaching as high as 37.29 in 2024. This high valuation relative to earnings could pose a risk if market sentiment changes or if earnings do not meet expectations.
- **Cost Management Risk:** Despite a strong contribution margin, the cost of operations remains substantial and has shown slight increases. Any escalation in costs without corresponding revenue growth could pressure margins and profitability.
- **Competitive Risk:** Comparing EBITDA with peers like Google and Microsoft, Apple faces significant competition. Google's and Microsoft's projected EBITDA growth outpaces Apple's, which could affect Apple's market position and investor sentiment.
- **Macroeconomic Risk:** Global economic conditions, such as inflation, supply chain disruptions, and geopolitical tensions, could impact Apple's operations and financial performance, potentially affecting investor returns.

Key Takeaways

- ✓ **Revenue Growth:** Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates

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